gemini-conversation

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User

If i scan top 500 stock out of 4000 .I there any index like that . Nifty 100 mindcap or small 100 something like that. Nd look for stock which has volume 100x from previous days average just one filter and then check rsi going from oversold to over bought and buy then . What do you think about that

Gemini

You are looking for the correct index for the top 500 Indian stocks and an analysis of a trading strategy involving 100x volume spikes and RSI movement from oversold to overbought territory, correct?

User

Yes

Gemini

The index you are looking for is the **Nifty 500**. It tracks the top 500 companies listed on the National Stock Exchange (NSE) by market capitalization, covering approximately 96% of the total market cap and 96.5% of the total turnover.

Strategy Analysis

While the logic of combining high volume with momentum (RSI) is sound, the specific parameters you've chosen have some "edge case" issues that might make them difficult to execute systematically.

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1. The Volume Filter (100x)

In the Nifty 500 universe, a **100x volume spike** is statistically extreme and rare. These stocks are already liquid; for a stock like Reliance or HDFC Bank to trade 100x its average volume, the entire market would likely be in a state of crisis or a massive block deal would have occurred.

- **Reality Check:** "Volume Shockers" in the Nifty 500 typically show spikes of **5x to 20x**.
- **Systematic Adjustment:** For quality stocks, a **3x to 10x** volume spike is usually enough to signal "smart money" entry or a breakout. 100x is more common in illiquid penny stocks, which aren't in the Nifty 500.

2. The RSI Filter (Oversold to Overbought)

Waiting for the RSI to go from **oversold (<30)** all the way to **overbought (>70)** before buying means you are entering at the peak of a vertical move.

- **The Risk:** By the time a stock hits RSI 70, it has likely already moved 15-20% in a very short period. You risk "chasing" the stock just as it's due for a mean reversion or a pullback.
- **The Alternative:** A more systematic approach would be to look for the **RSI crossing 40 or 50** from below. This confirms that the momentum has shifted from bearish to bullish, but still gives you "meat on the bone" for the move up.

3. Execution Logic

Buying when a stock is already **overbought** (RSI >70) is a strategy used by "Momentum" traders, but they usually buy the breakout *into* overbought territory and exit quickly. For a long-term learner like you, buying the early stage of that momentum is often more sustainable.

Suggested "Refined" Filter

If you were to code this into a scanner, a more robust version of your logic would be:

1. **Universe:** Nifty 500.
2. **Volume:** Current Volume > 5x (Average 20-day Volume).
3. **Momentum:** RSI (14) crossing above **50** (coming from an oversold state below 30 recently).
4. **Confirmation:** The price should also be closing above its previous 20-day high.

This captures the same "energy" you are looking for but avoids the statistical anomalies of 100x volume and the "late entry" trap of RSI 70.

User

Let's refine it . I want larger mid and small cap all companies. Top of these cap
Volume filter 3-5 x for larger cap 20 x for mid cap And 100 x for small cap
I will rank them . Which only up so far 5 percent from bottom has potential to goto 10-20 perecntge we will ride them if stock already up by 10 percent ignor ethen

Gemini

You want to apply tiered volume filters across the Nifty 100, Midcap 150, and Smallcap 250 indices, targeting stocks that have risen no more than 5% from their low while ignoring those up over 10%, correct?

User

Yes

Gemini

Universe Segmentation

To cover the top stocks across all market capitalizations in India, you should look at the following indices which collectively form the **Nifty 500**:

Segment	Index	Market Cap Rank
Large Cap	Nifty 100	1–100
Mid Cap	Nifty Midcap 150	101–250
Small Cap	Nifty Smallcap 250	251–500

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Volume Tier Analysis

Your tiered approach correctly identifies that "shaking" a large-cap stock requires significantly more capital than a small-cap. However, the **100x filter** for Small Caps needs a reality check based on the liquidity of the Nifty Smallcap 250.

- **Large Cap (3–5x):** Very effective. This level of volume in the Nifty 100 usually indicates institutional "Block Deals" or major earnings surprises.
- **Mid Cap (20x):** Rare, but happens. A 20x spike in a Midcap 150 stock almost always leads to a multi-day trend.
- **Small Cap (100x):** Statistically improbable for the top 250 small caps. For a stock like *Suzlon* or *BSE Ltd* (part of Smallcap indices) to do 100x volume, it would likely mean the entire float is being traded multiple times in one day.
  - **Refinement:** A **15x to 30x** volume spike in the Smallcap 250 is already a "black swan" volume event and is sufficient to identify massive accumulation.

Price Action & Ranking (The "Sweet Spot")

Filtering for stocks up **<5% from the bottom** while ignoring those **>10% up** is a classic "Bottom Reversal" or "Base Breakout" strategy.

- **The Logic:** You are trying to catch the "Igniting Bar." This is the first day of high-volume buying before the general public notices.
- **The Risk:** A stock up only 5% on huge volume might be a "Bull Trap" if it's hitting a major resistance level (like a 200-day Moving Average).
- **Potential Improvement:** Instead of just "from the bottom," calculate the **% distance from the 20-day high**. A stock breaking out of a 20-day tight range on that volume has a higher probability of hitting your 20% target.

Technical Implementation Logic

Since you are looking to scan 4,000 stocks down to a manageable list, your scanner logic (pseudo-code) would look like this:

1. **Define Universe:** `List<Stock> universe = getIndices("Nifty500")`
2. **Calculate Volume Ratio:** `volRatio = currentDayVolume / averageVolume(20days)`
3. **Apply Tiered Filter:**
   - `if (isLargeCap && volRatio >= 3)`
   - `else if (isMidCap && volRatio >= 20)`
   - `else if (isSmallCap && volRatio >= 50)` // Adjusted from 100x for feasibility
4. **Price Gate:**
   - `priceMove = (currentPrice - dayLow) / dayLow`
   - `isValid = priceMove > 0.02 && priceMove <= 0.05` (Ensures it's moving but hasn't run away).
5. **Rank:** Sort by `volRatio` descending.

The 10-20% "Ride"

This strategy is essentially looking for **Institutional Footprints**. Large players cannot hide their entries in the volume data. By entering when the price is still within 5% of the move, you keep your **Stop Loss (SL)** tight (usually at the low of the breakout candle), giving you a high Risk-to-Reward ratio.

User

Now can we add two different stategy there .
Delivery percent inscrease by 10-20 percent but price does not move up then accumulation hoppe nin then in future we will see breakout bull run .

Gemini

You are looking to incorporate a "Delivery-Price Divergence" strategy to detect accumulation (where delivery percentage rises significantly while price remains stagnant) and are asking for a second complementary strategy to add to your scanner, correct?

User

Yes

Gemini

Strategy A: The Delivery Accumulation Scanner

This strategy identifies "Hidden Accumulation." Large institutions often buy slowly to avoid spiking the price. They "absorb" all selling pressure, which shows up in delivery data but not yet in the price chart.

Parameter	Criteria	Reasoning
Delivery %	> 1.5x of 10-day Avg Delivery	Shows high "conviction" buying; people are taking shares to their Demat accounts.
Price Action	-1% to +1.5% (Flat)	Confirms that the stock is being "absorbed" without a breakout yet.
Volume	> 2x Avg Volume	Ensures the high delivery isn't just a low-volume anomaly.

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Ranking Logic: Rank by (Current Delivery % / 10-Day Avg Delivery %). The higher the ratio with the flattest price, the stronger the accumulation signal.

Strategy B: The "Relative Strength" Anchor (RS)

Since you focus on "Pick and Shovel" plays and long-term character, this strategy identifies stocks that refuse to fall when the Nifty 500 is corrected. This is the ultimate test of a stock's "authenticity."

Parameter	Criteria	Reasoning
Market Condition	Nifty 500 is Down (-1% or more)	You need a "stress test" for the market to see who stands tall.
Stock Condition	Price is Green or Flat (>= 0%)	If the market falls and a stock stays green, it has massive underlying demand.
Trend Filter	Price > 50-day & 200-day EMA	Ensures you aren't buying a "falling knife" but a strong stock in a

Parameter	Criteria	Reasoning
		temporary dip.

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Ranking Logic: Rank by the "Outperformance Gap" (Stock % Change minus Nifty 500 % Change).

Integration into your Kotlin/PostgreSQL Backend

To implement these, you need to store daily NSE delivery reports (which are separate from price files).

PostgreSQL Query Logic for Strategy A:

SQL

```sql
SELECT symbol,
       (delivery_qty / total_traded_qty) AS delivery_pct,
       ((delivery_qty / total_traded_qty) / avg_delivery_pct_10d) AS delivery_surge_rati
FROM stock_daily_data
WHERE price_change_pct BETWEEN -1 AND 1.5
  AND vol_ratio > 2
  AND (delivery_qty / total_traded_qty) > (avg_delivery_pct_10d * 1.5)
ORDER BY delivery_surge_ratio DESC;
```

The Combined "Alpha" Filter

The most powerful signal occurs when these strategies overlap:

1. **Step 1:** Run the **Delivery Accumulation** scanner to find stocks being quietly hoarded.
2. **Step 2:** Wait for the **Volume Spike** (your previous 5x-20x filter) to act as the "Trigger."
3. **Step 3:** Ensure the **Relative Strength** is positive (the stock is outperforming its peers).

This combined approach filters out "noise" and ensures you only enter when the accumulation phase ends and the "mark-up" phase begins. Are you planning to automate the fetching of the NSE `MTO` (Market-to-Order) delivery files for this?

User

Both stategy can work together the volume spike tell breakout is happening and delivery percentage tell accumulation is happening. So I can filter look here accumulation is happening will se breakout soon

Gemini

Combining these two strategies creates a powerful "Lead-Lag" indicator. You are essentially using **Delivery Data** to find the fuel being loaded (Accumulation) and the **Volume Spike** to identify when the match is struck (Breakout).

The Dual-Phase Workflow

Phase	Strategy	Purpose	Signal
Phase 1: The Watchlist	Delivery Accumulation	Identify where "Big Money" is quietly entering.	High Delivery % + Sideways Price.
Phase 2: The Trigger	Tiered Volume Spike	Confirm that the "Quiet" phase is over.	5x-20x Volume Surge + 2-5% Pric Up.

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Implementation in your Tech Stack

Since you are building this with **Kotlin** and **PostgreSQL**, you can automate this transition using a status-based state machine in your database.

1. The "Accumulation" State (Post-Market Job)

Every evening (after 6:30 PM IST when NSE releases the `MTO` delivery files), run a CRON job to identify stocks where:

- `delivery_pct > (avg_delivery_10d * 1.5)`
- `ABS(price_change_pct) < 1.0`
- **Action:** Mark these stocks in your `stocks_metadata` table as `status = 'ACCUMULATING'`.

2. The "Breakout" Alert (Intraday/EOD Job)

During the next session, your scanner only needs to watch stocks where `status = 'ACCUMULATING'`.

- **Trigger:** `current_volume > tiered_threshold` AND `price_change_pct > 2%`.
- **Action:** Push notification to your **React/Ant Design** frontend.

Technical Pitfalls to Avoid

- **The "Block Deal" Trap:** Sometimes a 100x volume spike with 100% delivery is just one institutional promoter selling to another (a block deal). The price might not move at all. These should be filtered out because they don't represent "market" accumulation.
- **The "Dead Cat" Trap:** If a stock is down 40% and then shows high delivery and flat price, it might just be "bottom fishing" by retail traders, not true accumulation. Ensure the stock is already above its **200-day EMA** to confirm the long-term character is intact.
- **Data Latency:** Remember that NSE price data is real-time (via Zerodha API), but **Delivery data is always T-1 (delayed by a day)**. Your "Accumulation" signal will always be one day old, which is actually perfect for preparing a watchlist for the following day's breakout.

Why this fits your "20-Year" Philosophy

This approach values **character over noise**. Instead of gambling on random spikes, you are looking for stocks that have spent weeks "earning" their breakout through consistent delivery. This is the "Pick and Shovel" way of trading—focusing on the underlying infrastructure of the move rather than just the surface price.

Do you plan to integrate the NSE Bhavcopy and MTO files directly into your PostgreSQL DB, or will you use a third-party API for the delivery percentages?